

Asia Trades Against a Closed Market

US markets are closed for Labor Day. Whatever Asia does today will be marked against a tape that has not voted.

THE READING

American equities closed on Friday with the S&P 500 at 7,718.60 and the ten-year Treasury at 4.789%, inside Hedgeye's 4.67–4.83 band. August payrolls printed 162,000 against a consensus near 53,000, and odds of a September hike moved to 58% from 49.4%. Today the New York exchanges are shut for Labor Day. The next American close is Tuesday; the number that settles September, August CPI, lands on Friday.

Asia trades anyway. The KOSPI is 28% below its highs and halted briefly last week on a 5% slide, led by Samsung and SK Hynix — while the memory they sell is rationed and repricing upward. It will trade this morning on American data with no American market to check it against.

WHAT WISDOM WOULD SAY

Aristotle, in Book VI of the *Nicomachean Ethics*, separates practical wisdom — *phronesis* — from knowledge of general truths. Practical wisdom is concerned with particulars, and he makes the uncomfortable claim that someone who knows the particular case without the universal will act better than someone who has the universal and not the case. His example is medicine, which treats this patient rather than man in general.

The universals are all available this morning and all sound. Rates are the driver. Semiconductors are lagging the index. Korea is cheap against a supply shortage. Each was true on Friday and will still be true on Wednesday, which is exactly what makes them useless for deciding what to do in the next eight hours.

The particular fact about today is narrower and less interesting: there is no US session. A price made in Seoul or Tokyo this morning is made without the counterparty who decides whether it stands. Phronesis is the discipline of asking what this day permits you to know. Today permits you to learn about Asian positioning, and nothing else.

THE RISK IT JUSTIFIES

This justifies declining to read today's Asian tape as a preview. If Korean or Taiwanese semis rally this morning, that is not the region pricing Friday's payrolls; it is a thin book pricing itself in the absence of the crowd that votes on Tuesday. Adding to memory or to Korea on today's move is paying for information that has not been produced yet.

It also justifies leaving sizes where Friday left them. Nothing before Tuesday's open can settle the September question; CPI does that on Friday. Three days of headlines will arrive, and none is a data point.

What would change the answer: an Asian move large enough to survive Tuesday's American open — the survival, not the move. Or a Bank of Japan or PBOC action that reprices the region on its own terms rather than on America's.

If today's move is gone by Tuesday's open, what exactly did you learn from it?